Brief Overview: Allocation, Rationale and Conviction

Nov 11, 2026. A companion to the adopted V10.2 analysis (`Event Horizon Fund Analysis 2026-11-08.md`). Every return comes from the V10.2 model at Nov 9, 2026 prices. The conviction scores are Claude's; a Codex blind review is pending.

1. Bottom Line

- **V10.2 holds eight stocks that supply the scarcest inputs to an AI-2027-style buildout:** chips, HBM memory, power, cooling, electrical gear, rack integration and site construction, plus META as ballast.
- **If AI-2027 lands within about a year of schedule, the fund ends 2030 at about 2.0–2.9×** (2.45× if exactly on time). That turns $100k into about $199k–$293k. If it runs 1.5–2 years late it still makes about 15% a year. Its weak spot is an AI-spending bust, where it loses about 62%.
- **Under your view (AI-2027 ±1 year), the fund's expected return is about 20% a year.** On the model's more cautious probabilities it is 15.5%.
- **Every holding trades below fair value:** 22–40% below under your view, 11–29% on the model's view. Today's prices assume AI lands somewhere between a stall and "AI-2027 late," so the on-time case is essentially free upside (Section 4).
- **Re-weighting toward your view barely changes the stock list.** The best names under your view are mostly the ones already held. The one clear improvement is **MOD**: 5% if its Nov 18 investor day passes the gate (already planned), then **up to 8%** once its next report confirms it.
- **AGI-focused investors mostly hold what the fund already owns:** memory, power and NVDA. The big new name is **Anthropic's IPO (ANT, trading Nov 19)**. On a rough screen it doesn't beat the holdings at the IPO price; at most it's a small Moonshot position (Section 9).
- **The AI-2027 compute workbook confirms the picks rather than changing them.** HBM is the binding input in every year from 2025 to 2030. The workbook leaves out power entirely, and power is the real wall it would hit.
- **Conviction averages 6.9/10.** NVDA and MU are highest at 8.5. CLS is lowest at 5. Nothing reaches 9–10, because every hardware holding loses 58–75% in a bust and several have unresolved near-term events.

2. How We Think About the Future

Owner's view: AI-2027, give or take about a year, is the most likely path. It has tracked well so far.

- **The spending side is on pace or ahead:**
  - AI capex is about $0.9–1T in 2026, against the forecast of about $1T.

    - Lab revenue is running at 1.43× pace.
    - AI chip sales are about $450–500B, against the workbook's $396B.
- **Capabilities are a little behind,** at about 70–90% of AI-2027's pace.
- **The forecasters moved toward the story during 2026, but are still behind it.** Kokotajlo's median for an automated coder went from late 2029 (late 2025) to mid-2028 (Apr 2026) to **Dec 2027** (Aug 2026). That's about 2 years earlier than a year ago, but still about 9 months after the story's March 2027. Brendan is at Jul 2028 and Lifland at Mar 2029.
- **Stock prices are behind the fundamentals.** Part II.C has the full scorecard.

The fund's model is more cautious. It weights the base case, which is roughly AI-2027 running 1.5–2 years late, at 50%. This overview shows both views side by side.

World	2030 AI capex	Model probability	Owner-view probability
AI-capex bust	~$0.45T	12.5%	7.5%
Plateau / 2–3 year delay	~$0.9T	12.5%	7.5%
AI-2027 ~1.5–2 years late (model base)	~$2.8T	50%	15%
AI-2027 ~1 year late	~$3.2T	(inside base → AI-2027)	20%
AI-2027 on time	**~$4.2T**	**35%** (named scenario, spans base and bull)	**30%**
AI-2027 ~1 year early	~$5.5T	(inside bull, 25%)	12.5%
100GW 2030	~$8T	10% (inside bull)	7.5%

The owner view puts 62.5% on "AI-2027 ±1 year" and 85% on "base case or better." Every row uses values the model already has: the in-between rows sit on the model's own AI-2027 → 100GW path, which scales each stock's sensitivity to AI pace. The 1-year-late and 1-year-early capex figures assume AI-2027's ~32%/yr capex growth from 2028 to 2030.

What the fund does in each world (V10.2, to Dec 31, 2030)

World	Fund return	$100k becomes
100GW 2030	38.2%/yr	~$382k
AI-2027 ~1 year early	29.6%/yr	~$293k
AI-2027 on time	**24.1%/yr**	**~$245k**
AI-2027 ~1 year late	18.1%/yr	~$199k
AI-2027 ~1.5–2 years late	15.0%/yr	~$179k
Plateau / 2–3 year delay	−22% total	~$78k
AI-capex bust	−62% total	~$38k
Probability-weighted, owner view	**20.2%/yr**	**~$214k**
Probability-weighted, model view	15.5%/yr	~$182k

3. The Holdings at a Glance (Eight, Plus MOD)

The scenario columns show what $1 becomes by the end of 2030. **Weight** shows V10.2 now → Stage 1, which applies if MOD passes its Nov 18 gate (D7, already adopted; Section 10).

Stock	Weight (now → if MOD passes)	Role	AI-2027 1.5–2y late	1y late	On time	1y early	100GW	Bust	Owner-view E	Model E	Conviction
NVDA	15%	Accelerators	1.9×	2.2×	**2.7×**	3.2×	4.2×	−63%	22.7%	17.8%	**8.5**
META	15%	AI application (ballast)	1.6×	1.7×	**2.1×**	2.6×	3.4×	**−34%**	16.7%	15.0%	**5.5**
VRT	14% → **11%**	Rack power + liquid cooling	1.7×	1.9×	**2.3×**	2.7×	3.5×	−72%	18.1%	13.9%	**6**
MU	14%	HBM memory	1.7×	2.0×	**2.7×**	3.4×	**4.7×**	−64%	22.6%	13.1%	**8.5**
NRG	12%	Power generation	1.9×	2.1×	**2.5×**	2.9×	3.5×	−67%	20.6%	17.1%	**7.5**
NVT	12% → **10%**	Electrical distribution + cooling	1.7×	1.9×	**2.2×**	2.6×	3.4×	−58%	17.8%	13.8%	**6**
CLS	10%	Rack-scale integration	1.8×	2.0×	**2.4×**	2.8×	3.5×	−75%	19.1%	14.8%	**5**
STRL	8%	Site development + electrical install	**2.1×**	**2.3×**	**2.8×**	3.4×	4.5×	−65%	**24.5%**	**19.5%**	**7.5**
MOD	**0% → 5%** (gated; up to 8% later)	Liquid cooling (post-spin)	1.8×	**2.4×**	**3.5×**	**4.8×**	**7.1×**	−71%	**30.6%**	**18.7%**	**6 → 7**
Fund, V10.2 (now)	**100%**		**1.8×**	**2.0×**	**2.45×**	**2.9×**	**3.8×**	**−62%**	**20.2%**	**15.5%**	**6.9** (weighted)
Fund, Stage 1 (MOD 5%)	**100%**		**1.8×**	**2.0×**	**2.5×**	**3.0×**	**4.0×**	**−62%**	**20.9%**	**15.7%**	**6.9** (weighted)

How to read this: "Owner-view E" is the expected return using the owner's probabilities from Section 2. "Model E" is the fund's official ranking metric.

4. Valuation at a Glance

Price is built into every return in this document. Expected CAGR = (expected 2030 value ÷ today's price), annualized. The same company scores lower as its price rises, so the fund buys a bottleneck only while it's still cheap enough.

How big is the discount today?

Fair value today = the expected 2030 value, discounted back at 10%/yr: a normal stock-market return, about 1.48× over the 4.14 years to Dec 31, 2030. **Discount** = how far below that fair value the stock trades. Sorted by model-view discount.

Stock	Price (Nov 9)	Valuation today	Context	Status	Fair value (model)	Discount (model)	Fair value (owner view)	Discount (owner view)
STRL	$290.67	10.3× 2027E	Revenue +127%, backlog +78%	Attractive (multiple-sensitive)	$410	**29%**	$485	**40%**
NVDA	$178.67	11.2× FY28E	Estimates up 24% in 90 days while the stock fell	Attractive	$237	**25%**	$281	**36%**
NRG	$97.40	~6× 2027 FCF	Levered; a $4B asset sale funds debt reduction	Attractive (levered)	$126	**23%**	$143	**32%**
META	$641.37	18.0× forward	Lowest of the mega-cap platforms (median 22.5×)	Attractive	$770	17%	$820	22%
CLS	$222.92	10.0× 2027 outlook	Contract-manufacturer peers ~10×	Attractive	$266	16%	$310	28%
VRT	$200.47	20.4× 2027E	Down 41% since May while orders doubled; the priciest holding	Fair	$231	13%	$269	26%
NVT	$114.44	16.4× 2027E	Electrical peers ~21×	Attractive	$132	13%	$152	25%
MU	$733.15	**3.5× FY28E**	The market expects a memory glut	Deep discount (cyclical)	$822	11%	$1,149	**36%**
MOD (0% → 5%, gated)	*$106.15*	*11.3× forward*	*Five-week-old spin-off*	*Speculative*	*$145*	*27%*	*$216*	*51%*

Stock	Price (Nov 9)	Valuation today	Context	Status	Fair value (model)	Discount (model)	Fair value (owner view)	Discount (owner view)
Fund (V10.2)						**18%**		**31%**

- **Under the owner view, every holding trades 22–40% below fair value.** On the model's more cautious view the range is 11–29%.
- **MU's two numbers differ the most (11% vs 36%).** At 3.5× earnings it looks extremely cheap, but the model *halves* its earnings by 2030 to allow for the memory cycle, so the model sees only a modest discount. If AI-2027 keeps HBM sold out, as the workbook implies, the discount is closer to 36%.
- **META has the smallest owner-view discount (22%)**, because AI-2027 helps it less. It's held for protection (Section 5).

How much room to grow (to Dec 31, 2030)

Total gain or loss from the Nov 9 price, by outcome. "Earnings path" compares the 2027 consensus with the earnings the model uses for 2030 in its base case.

Stock	Earnings path (2027 consensus → model 2030 base)	AI-2027 1.5–2y late (base)	AI-2027 on time	100GW	Bust
STRL	$28.10 → $42.86 (+53%)	**+106%**	**+184%**	+349%	−65%
NVDA	$15.92 (FY28E) → $19 (+19%; assumes growth stalls)	+94%	+167%	+321%	−63%
NRG	2027 FCF $2.9–3.4B → 2030 EBITDA $6.5B	+90%	+151%	+253%	−67%
CLS	$21.50 → $29.14 (+36%)	+83%	+138%	+254%	−75%
VRT	$9.84 → $15 (+52%)	+73%	+128%	+245%	−72%
MU	$207.76 (FY28E) → $110 (**−47%**; assumes the boom fades)	+72%	+168%	**+371%**	−64%
NVT	$7.00 → $10 (+43%)	+70%	+123%	+236%	−58%
META	$33.97 → $49.23 (+45%)	+55%	+113%	+235%	**−34%**
MOD (0% → 5%, gated)	*→ $8.84 owner EPS (the gate target)*	*+83%*	*+252%*	*+612%*	*−71%*

What today's price already assumes

What would each stock have to be worth in 2030 to earn a normal 10%/yr from today? That required value lands somewhere between the model's "AI stalls 2–3 years" case and its "AI-2027 runs 1.5–2 years late" case:

Stock	How far along that range the stock must get (0% = stall case, 100% = AI-2027 1.5–2 years late)
STRL	52%

Stock	How far along that range the stock must get (0% = stall case, 100% = AI-2027 1.5–2 years late)
NRG	56%
NVDA	60%
MOD	*65%*
CLS	72%
MU	75%
VRT	76%
NVT	77%
META	91%

In plain terms: no holding needs AI-2027 to be on time just to earn a normal return. Each only needs AI to land between a stall and "AI-2027 late." The on-time case is essentially **not in today's prices**, and that is the source of the extra return: about 2.5× by 2030 instead of 1.5×.

Cheap as an opportunity vs cheap for a reason

Type	Stocks	Why
Re-rated lower while the business improved (opportunity)	VRT, NVDA, NVT, STRL	VRT is down 41% since May while orders more than doubled. NVDA's estimates rose 24% in 90 days while the stock fell. NVT trades about 5 turns below electrical peers. STRL grows revenue 127% at 10× earnings
Cheap because risk is priced in (watch the risk)	MU, NRG, CLS	MU: the market expects a memory glut, and the model partly agrees. NRG: leverage plus Texas policy. CLS: weak cash conversion and a possible equity raise
Fairly priced, held for its role	META	The cheapest platform, but priced near its base case. It earns its place by cutting the bust loss

Room the model leaves on purpose

- **The exit multiples are modest:** NVDA 18×, MU 10×, STRL and CLS 14×, META 20×. On Codex's higher multiples, V10.2 returns **18.5%** instead of 15.5% (Part I.B).
- **The base-case earnings are conservative:**
  - MU's earnings are halved from the FY28 consensus.
  - NVDA's revenue levels off around $750–850B as custom chips take share.
- **Prices since Nov 9:** on Nov 10, NVDA closed about 6% lower ($168), MU about 1% lower and MOD about 3% lower. This overview isn't re-priced; a re-price belongs to the next cycle or a trigger.

Famous AI names the fund passes on as overpriced

CRWD −12.5% · PLTR 1.0% · AMZN 8.3% · GOOGL ~10% · ASML 11.0% (23.9× earnings) · TSM 11.8% · SNDK 7.1% · MRNA −7.1%. These are model-view expected returns at Nov 9 prices. Good companies, but at these prices they return less than every holding.

5. Holding by Holding

NVDA: 15% (at the cap). Conviction 8.5/10

- **Role in an AI-2027 world:** NVIDIA sets the pace of every AI path. The workbook's AI chip market grows **$396B (2026) → $695B (2027) → $3.07T (2030)**, about 67% a year, and actual 2026 spending is already ahead of that.
- **Why it's here:** #3 of 60 on the model. It trades at 11× FY28 consensus earnings after estimates rose 24% in 90 days. Under the owner view it returns 22.7%, against 17.8% for AVGO, the next accelerator.
- **Why 15%:** that's the per-name cap. On returns alone the model would hold more.
- **Main risks:**
  - Custom chips (ASICs) taking share.
  - The board review and the security story.
  - The Nov 17 report.
- **What raises conviction to 9:** a clean Nov 17 report, and the board review closing without a change in strategy.

META: 15% (ballast). Conviction 5.5/10

- **Role in an AI-2027 world:** META turns cheaper AI into ad revenue and business agents across 3B+ users. It is a *buyer* of compute, so it doesn't need the leading model; it needs distribution.
- **Why it's here:**
  - At 18× earnings it's the cheapest big tech platform. Model E 15.0% (#6 of 60), against 12.3% for MSFT.
  - It loses only 34% in a bust, against about 60% or worse for every other holding.
- **The honest weak spot:** on its own, META is the **lowest holding under the owner view** (16.7%, #17 of 60). AI-2027 makes it spend *more* on capex, and only one model (Codex) valued it.
- **Why it still earns 15%:** replacing it with the best available swap, AVGO 15%, raises owner-view return by only 0.16pp. In exchange, the bust gets 5.8pp worse (−67.3%) and the delay case 3.4pp worse, and model E falls 0.21pp. Section 8 has the test.
- **What raises conviction:** a second model confirming its bull case, and ad growth of at least 20% with capex discipline.

VRT: 14%. Conviction 6/10

- **Role:** every AI rack needs power distribution and liquid cooling. The workbook's power per chip rises from **1,000 W (H100) → 1,667 W (B100) → 2,600 W (R100)**, which makes liquid cooling mandatory.
- **Why it's here:** orders more than doubled and Q3 sales rose 61%, but the stock is down 41% since May because its valuation multiple shrank. The evidence is strong, and both models agree.

- **Main risks:**
  - The worst bust among the larger holdings (−72%) and a −29% delay loss.
  - Hyperscalers bringing cooling in-house.
  - MOD is the better-returning cooling name *if* it passes its gate.
- **What raises conviction:** 2027 guidance of +20% or more (the Part VII.C monitor), with gross margin held at 33% or more.

MU: 14%. Conviction 8.5/10

- **Role:** HBM memory is the **binding input in every year from 2025 to 2030** in the AI-2027 compute workbook (Section 7). By 2030 the workbook needs **~31.6M HBM wafers a year**. That is more than the whole DRAM industry produces today, very roughly 20M wafers a year.
- **Why it's here:**
  - It trades at 3.5× forward earnings, with 26 long-term contracts covering more than 35% of revenue through 2030, most with price floors.
  - Its 100GW return (4.7×) is the best of any holding.
  - Under the owner view it is #4 (22.6%) among fully valued names that don't go to zero in a bust.
- **Main risks:**
  - Memory's history of booms and gluts.
  - Samsung catching up on HBM.
  - The workbook gives Micron only a 10% HBM share, a 2024 assumption that is probably stale.
- **What raises conviction to 9:** the Dec report (date unconfirmed) confirming the $61.5B FQ1 guide and contract prepayments.

NRG: 12% (capped). Conviction 7.5/10

- **Role: power is the real wall,** and the workbook doesn't even model it. Its own chip counts imply about **90 GW of AI chips installed by end-2027 and about 490 GW by 2030**, at chip level before cooling overhead. That can't be powered, so whoever owns energized generation in Texas and PJM collects the scarcity.
- **Why it's here:** #4 of 60 on the model. About 6× free cash flow, with a $4B asset sale funding debt reduction. Its −5% delay loss is the best in the fund.
- **Why 12%:** it's capped for debt and Texas policy risk, and NRG + STRL can't exceed 20% combined.
- **What raises conviction:** the asset sale closing, and clarity on Texas rules (the D6 trigger).

NVT: 12%. Conviction 6/10

- **Role:** electrical distribution and liquid-cooling components. It's the cheaper electrical name, at 16.4× against peers at about 21×.
- **Why it's here:** +44% organic growth. At −58%, it has the mildest bust of the hardware holdings.
- **Main risks:** the integration of its Maverick acquisition and its margins; and it sits mid-pack under the owner view (17.8%).

- **What raises conviction:** 2027 organic growth guidance above 20%, and Maverick holding its margins.

CLS: 10% (capped). Conviction 5/10

- **Role:** builds full AI racks. Its volume scales with the 7.8× growth in chips from 2026 to 2030.
- **Why it's here:** #7 of 60; 10× its $40B 2027 outlook.
- **Why only 10%:** it has the worst bust (−75%) and the worst delay case (−43%) in the fund. 2026 free cash flow was cut to $460M, and an equity raise is possible. It's a contract manufacturer, so it's a real but competitive bottleneck.
- **What raises conviction:** Q4 free cash flow at plan, and no equity raise.

STRL: 8%. Conviction 7.5/10

- **Role:** prepares and electrifies data-center sites. Skilled crews and energized, interconnection-ready land are among the slowest inputs to add.
- **Why it's here:**
  - **#1 of 60 on the model (19.5%).** Under the owner view (24.5%) it's #2 among stocks that don't go to zero in a bust, behind only MOD.
  - Q3 revenue +127%; backlog $6.1B (+78%) at 10× forward earnings.
  - Both Step 4 passes found it independently.
- **Why only 8%:** Texas concentration (sharing the 20% cap with NRG), project risk, and a valuation sensitive to its multiple.
- **What raises conviction:** two more quarters with signed book-to-bill above 1.0; a second model confirming the base-case bridge.

MOD: 0% → 5% if the Nov 18 gate passes (up to 8% later). Conviction 6/10 now, 7 after the gate

- **Role:** a liquid-cooling pure play. Modine completed its spin-off on Oct 1 and is now focused on data-center thermal. In the workbook, power per chip rises from **1,000 W to 2,600 W by 2027**, and liquid cooling becomes mandatory.
- **Why it's the likely ninth holding:**
  - **#2 of 60 on the model (18.7%)** and **#1 under the owner view (30.6%)** among stocks that don't go to zero in a bust.
  - **The biggest fast-path lever in the pool:** 3.5× if AI-2027 is on time, 7.1× under 100GW.
  - **Cheap:** 11.3× forward earnings; 27% below fair value on the model and 51% under the owner view (Section 4).
- **Why it's gated:**
  - The business has only existed in its current form for about five weeks.
  - Continuing-business guidance for FY27 is $3.1–3.2B of sales and $470–500M of adjusted EBITDA (Nov 3).
  - H1 free cash flow was negative, and data-center gross margin fell.

    - Its base and bull inputs come from one model (Codex) only.
- **The gate (D7):** at the **Nov 18 investor day**, Modine must give FY28 targets that credibly bridge to **2030 owner EPS of $8.84**, a **stable data-center gross margin**, and **positive H2 free-cash-flow guidance**.
    - **If it passes:** MOD 5%, funded VRT −3 / NVT −2 (Stage 1). It stays within the same cooling and electrical layer, and the fund's expected return goes 15.5% → 15.7% (owner view 20.2% → 20.9%).
    - **If its next quarterly report then confirms the thesis:** up to 8% (Stage 2, Section 10).
    - **If it fails:** stay at V10.2. VRT and NVT keep their weights.
- **Why wait rather than buy now:**
    - The investor day is the single most informative event for this stock, and it's one week away.
    - Buying before it means paying for the uncertainty the gate exists to remove.
    - Both Step 4 passes and the Step 5 decision agreed on the gate.
    - The cost of waiting is only the move on the day, and MOD swung between $91 and $125 in the first week of November alone.
    - An optional ≤1% starter is the most the evidence supports before Nov 18.
- **Main risks:** −71% in a bust; a short track record as a standalone company; cash conversion; thin evidence on its base case.
- **What raises conviction:** passing the gate (→ 7); a first standalone quarterly report that confirms the FY28 bridge (→ 7.5–8).

6. How Conviction Is Scored

Conviction = how confident we are that this stock, *at this weight*, is the right choice compared with the alternatives. It is not a prediction that the stock won't fall.

Part (0–2)	2	1	0
Edge	Clearly beats the best unheld alternative in its role, under both views	Beats it, but within ~2pp, or under one view only	Doesn't beat it
AI-2027 fit	AI-2027 return ≥ 26% (1.5 for 23–26%)	21–23%	< 20% (0.5 for 20–21%)
Bottleneck	Binding through 2030 and hard to substitute	Scarce but competitive	Not a supply bottleneck
Evidence	Hard data (orders, contracts, guidance), both models agree, no open event	Hard data, with one-model inputs or an open event	Mostly assumptions
Downside	Bust better than −40%	Bust −55% to −70%, delay better than −25%	Bust worse than −70% *and* delay worse than −30% (0.5 = one of the two)

Stock	Edge	AI-2027 fit	Bottleneck	Evidence	Downside	Total	What holds it back
NVDA	2	2	2	1.5	1	**8.5**	Nov 17 report and board review still open
MU	2	2	2	1.5	1	**8.5**	Memory cyclicality; HBM dollar forecasts unverified
STRL	2	2	1.5	1	1	**7.5**	One-model base bridge; Texas; multiple-sensitive
NRG	2	1.5	2	1	1	**7.5**	Asset sale and Texas rules pending; leverage
VRT	1	1	1.5	2	0.5	**6**	−72% bust; MOD may be the better cooling name
NVT	1.5	1	1	1.5	1	**6**	Mid-pack AI-2027 fit; Maverick integration
META	1.5	0.5	0.5	1	2	**5.5**	Weakest fast-path fit; only one model valued it
CLS	1.5	1.5	1	1	0	**5**	Worst bust and delay; cash conversion
MOD (0% → 5%, gated)	*2*	*2*	*1.5*	*0 → 1 after gate*	*0.5*	***6 → 7***	*Five-week-old spin-off; Nov 18 gate*

Why nothing is 9–10: a 9 needs Evidence 2, meaning no open event, which no holding has right now. A 10 also needs Downside 2, and only META has that. Conviction should rise as events resolve: NVDA after Nov 17, MU after its Dec report, NRG after the asset sale, and MOD after Nov 18.

7. The AI-2027 Compute Workbook

What it is

The workbook is "AI chip compute forecast" by Romeo Dean, the backend model for AI-2027's compute supplement (Google Sheet).

- The export downloaded Nov 11, 2026 has **one tab, "Clean version"** (rows 1–78, years 2021–2030, plus one chart). Every row, formula and note was read.
- It is a **supply model conditioned on high demand** ("similar to 2023 vs 2024"). Each year, AI chip output is the **minimum** of three supplies: CoWoS packaging, HBM memory, and leading-edge (≤5nm) wafers.
- It then derives the market size, compute, power and training-run size.

What it projects

Year	AI chips made	AI chip market	HBM market (sheet)	Binding input	AI share of ≤5nm wafers	AI chips installed, power (4-yr life)	Largest training run, power
2025	7.7M	$255B	$13B	HBM	14%	~19 GW	2.1 GW

Year	AI chips made	AI chip market	HBM market (sheet)	Binding input	AI share of ≤5nm wafers	AI chips installed, power (4-yr life)	Largest training run, power
2026	11.9M	$396B	$21B	HBM	18%	~38 GW	5.6 GW
2027	20.9M	$695B	$41B	HBM	34%	~91 GW	15.9 GW
2028	31.6M	$1,053B	$71B	HBM	40%	~169 GW	32.5 GW
2029	55.0M	$1,835B	$149B	HBM	73%	~288 GW	44.8 GW
2030	92.2M	$3,073B	$306B	HBM (wafers within 0.5%)	**99%**	~490 GW	**89.6 GW**

The power column is chip-level power (chips × watts per chip, at 1,000 W rising to 2,600 W), before cooling overhead. It's computed from the sheet's rows; the sheet itself doesn't sum it.

Against reality in 2026:

- **Spending is ahead.** The chip market is about $450–500B against the sheet's $396B. Memory makers' revenue is far above anything the sheet implies: SK hynix booked about ₩104.6T (~$78B) in Q3 2026 alone, though that is company-wide revenue, not HBM only.
- **Single-cluster scale is behind.** The sheet has a 5.6 GW training run in 2026; no coherent ~1 GW cluster has been verified yet.

What it means for the portfolio

1. **HBM is the wall, every year.** HBM output grows 7.8× from 2026 to 2030, and its wafer demand (31.6M a year by 2030) exceeds the entire DRAM industry's output today.
    - **Supports MU at or near the cap**, and is the strongest argument for SK hynix (see Section 9, and its ADR problem).
2. **Chip volume grows about 67% a year.** That supports NVDA, and CLS, which assembles the racks.
3. **Power per chip rises 2.6× by 2027.** Liquid cooling and rack power become mandatory: **VRT, NVT and MOD.**
4. **Power is the missing constraint, and it's the real one.** The sheet's own chips would draw about 490 GW by 2030; its US-capacity row is only about 1,600 GW in total. An AI-2027 path is limited in practice by energized power, interconnection and buildable sites.
    - **That is where V10.2 holds 46%** (VRT, NVT, STRL, NRG). The sheet's 2030 training run (about 90 GW) is essentially Situational Awareness's 100GW cluster.
5. **Leading-edge wafers are the second wall, in 2029–30** (99% AI share by 2030). That is the case for TSM and ASML. But at today's prices they return only 14–15% under the owner view, below every holding, so they stay on re-entry triggers.
6. **Packaging is not the wall.** CoWoS capacity has about 2× slack in every year, so no packaging-only names are needed.

Did it change the picks? No new names. It confirms the existing ones, and supports two small tilts: MU from 14% to 15%, and the MOD gate. Both are in Section 10.

Problems in the workbook (don't treat its dollars as forecasts)

- **HBM prices compound twice.** Each year's formula multiplies by 1.03^n, with n rising from 1 to 7. So the yearly price rise itself grows, from 3% in 2024 to 23% in 2030, and that produces the $306B. Growing units only from 2026 at +3% a year gives about **$180B**; the final document uses $165B from a 2024 anchor.
- **The packaging share is applied twice** in the chip-output formula (row 46). This doesn't change any output, because HBM binds.
- **Mislabeled units.** The datacenter power row (54) is in kW with no unit shown, and the training-run power row (71), labeled GW, is actually in kW. So the 2030 run is 89.6 GW, not "89.6M GW."
- **Chip size isn't adjusted consistently.** Chip counts are adjusted to H100 size in 2024 only; later years count full-size chips.
- **Copy-paste errors in the notes.** The note on Anthropic's chip share describes Meta's.
- **Correction for the final document:** Part II.C says V7.3's "25 Palo Verdes" figure is a 2028 number. In the sheet, **25 is the 2030 value** (row 75: 4.5 in 2027, 9.2 in 2028). The Codex deep dive's actual point was that the ">9" figure belongs to 2028. Fix this line when merging.

8. Why This Mix Under an AI-2027 View

1. **Every holding pays even if AI-2027 is late.** At 1.5–2 years late, every stock returns 1.6–2.1×. At 1 year late, 1.7–2.3×. The fund doesn't need AI-2027 to hit its dates.
2. **It owns the inputs, not the winners.** Chips, memory, power, cooling, electrical and sites get bought whichever lab wins.
3. **Re-optimizing for the owner view lands in almost the same place.** Among fully valued names that don't go to zero in a bust, the holdings rank: STRL #2, NVDA #3, MU #4, NRG #5, CLS #6, VRT #7, NVT #8–9 (tied with AVGO), META #10.
    - The only higher-ranked name not held is MOD (#1), and it's gated.
    - AVGO ties NVT on return but has a much worse bust (−73% vs −58%).
4. **The faster-path stocks that score higher go to zero in a bust.** CoreWeave and the miners turned AI hosts return 3.5–7.4× on the fast paths but lose 100% in the bust.
5. **Dropping META for a faster name doesn't pay:**

Test (owner view vs model view)	Owner-view E	Model E	AI-2027	Bust	Delay
V10.2	20.17%	15.48%	24.1%	−61.5%	−22.1%
META → AVGO 15%	20.33% (+0.16)	15.27% (−0.21)	24.4%	**−67.3%**	−25.5%
META 10%, rest to MU/VRT/STRL/AVGO	20.36% (+0.19)	15.46%	24.4%	−63.6%	−23.5%

META's job is to cut the bust loss, and it does that at almost no cost to return, even under the owner view.

9. Alternatives Worth Considering

Ranked by owner-view expected return. "Depth" means: **Full** = fully valued on the synthesis model; **Screen** = re-priced from a deep-dive model only, with downside inherited rather than modeled.

Rank	Stock	What it is	Model E	Owner-view E	AI-2027	1y early	100GW	Bust	Depth	Verdict
1	**CRWV**	Neocloud GPU capacity	16.5%	30.8%	35.5%	46.7%	62.2%	**−100%**	Full	**Moonshot only** (financing risk; 40% chance of zero in its bear)
2	**MOD**	Liquid cooling (post-spin)	18.7%	**30.6%**	35.5%	46.0%	60.6%	−71%	Full	**Add at the Nov 18 gate (5%), then up to 8%** (Section 10)
3	IREN	Bitcoin miner turned AI host	5.6%	26.5%	32.3%	44.6%	61.1%	−100%	Screen	Moonshot only
5	APLD	Bitcoin miner turned AI host	3.8%	23.1%	28.7%	39.8%	54.9%	−100%	Screen	Moonshot only
6	CORZ	Bitcoin miner turned AI host	5.6%	23.0%	28.5%	39.2%	53.8%	−100%	Screen	Moonshot only
9	**FN**	Optical transceiver manufacturing	7.7%	**22.1%**	27.1%	37.3%	51.6%	−71%	Screen	**Fully value next cycle**: beats 5 holdings under the owner view
11	**HPE**	AI servers + networking	8.7%	20.0%	24.8%	34.6%	48.4%	−68%	Screen	Fully value next cycle
14	AVGO	Custom AI chips + networking	13.5%	17.8%	21.9%	26.9%	34.6%	−73%	Full	Bench; the NVDA substitute (D8)
16	LITE	Optical components	4.4%	17.4%	22.2%	31.2%	44.0%	−78%	Screen	No
18	VST	Power (Texas)	13.0%	16.3%	20.2%	22.6%	26.8%	−67%	Full	Bench; re-entry below ~$112
20	TLN	Power (PJM)	12.7%	15.3%	19.3%	22.3%	27.3%	−60%	Full	Texas substitute (D6)
21	**SNDK**	NAND / storage	7.1%	15.0%	18.6%	25.2%	35.0%	−44%	Screen	No at $887; fully value next cycle (Aschenbrenner's top holding in June)
22	GOOGL	Platform + TPUs	9.9%	14.9%	19.0%	25.4%	35.0%	−64%	Screen	No; META is cheaper
24	TSM	Leading-edge wafers	11.8%	14.6%	17.9%	21.2%	26.6%	−61%	Full	Re-entry below ~$340 (the workbook's 2029–30 wall)

Rank	Stock	What it is	Model E	Owner-view E	AI-2027	1y early	100GW	Bust	Depth	Verdict
25	NBIS	Neocloud	−3.6%	14.4%	19.6%	29.9%	44.0%	−100%	Screen	No
27	ASML	EUV lithography	11.0%	14.0%	17.5%	20.9%	26.5%	−66%	Full	Re-entry below ~$1,250
—	**SKHY**	HBM leader (US ADR)	not in model	see below					Proxy	**Not at a 61% ADR premium**
—	**ANT**	Anthropic (IPO: prices Nov 18, trades Nov 19)	~10%	~20%	~26%	~34%	~45%	~−88%	Proxy	**Don't buy at the open; fully value first** (see below)

SK hynix (SKHY): the biggest gap, with a catch

- **The case:** the workbook gives SK hynix 45% of HBM, against Micron's 10%.
  - It has listed ADRs on Nasdaq as **SKHY** since July 10, 2026 (1 ADR = 0.1 share).
  - Q3 2026 revenue was about ₩104.6T, with roughly an 80% operating margin, and it plans about ₩100T of shareholder returns for 2026.
  - Reported forward P/E is about 4.5–5.7× 2027 earnings; sources differ on the price basis. Aschenbrenner's fund has reportedly traded it since September.
- **The catch: the ADR premium.** On Nov 9 the ADR closed at $134.38, which is $1,344 per underlying share. The Seoul share was ₩1,136,000 ≈ $834 at 1,362.7 KRW/USD. **The ADR cost about 61% more for the same share.** The premium has been 3% to 61% since listing, and reports say two-way conversion may be opening, which could narrow it.
- **Rough proxy (not a full valuation):** at the Seoul price, SK hynix's economics look similar to MU's (13% model E; 2.7× in AI-2027). Through the ADR, the result depends on what happens to the premium by 2030:

Premium by 2030	Expected (proxy)	AI-2027 (proxy)
Disappears	~1%/yr	~13%/yr
Falls to 10%	~3%/yr	~16%/yr
Stays at 61%	~13%/yr	~27%/yr

- **Verdict:** owning HBM through MU is better than SKHY at this premium.
  - **Trigger:** a premium below about 15%, *or* access to Seoul shares through a broker with Korea Exchange access.
  - Then fully value SK hynix as a candidate to share the HBM position with MU.

Anthropic (ANT): the AGI lab itself

Disclosure: this overview is written by Claude, which is made by Anthropic. Treat this section with that in mind, and have Codex check it before any decision.

- **What's happening:** Anthropic plans to price its IPO on **Nov 18** and start trading on Nasdaq as **ANT** on **Nov 19**. The range is $70–78 a share, about $1.33–1.4T fully diluted. The date and terms could still change.
- **Why AGI investors want it:** it's the first listed frontier AI lab, and the one thing V10.2 doesn't own: the AI itself rather than the inputs. Aschenbrenner's fund kept its Anthropic stake (about $5B, roughly a fifth of the fund) when it sold everything else in July.
- **Rough screen (not a full valuation):**
  - **Assumptions:** revenue grows from about an $81B run-rate (Oct 2026) to $250B in 2030 if AI-2027 runs 1.5–2 years late, $500B if on time, and $800B under 100GW. It's valued at 7–9× revenue, with about 15% more shares by 2030 to fund compute.
  - **Bad cases:** a bust leaves $60B of revenue at 3×; a stall leaves $120B at 5×.

Outcome (bought at the $74 midpoint)	Value by 2030	Per year
100GW 2030	4.7×	45%
AI-2027 ~1 year early	3.4×	34%
AI-2027 on time	**2.6×**	**26%**
AI-2027 ~1 year late	1.6×	12%
AI-2027 ~1.5–2 years late	1.1×	3%
Plateau / 2–3 year delay	0.39×	−61% total
AI-capex bust	0.12×	−88% total
Probability-weighted	owner view **~20%/yr**; model view **~10%/yr**	
If bought 30% above the midpoint (a first-day pop)	owner view ~12%; model view ~3%	

- **How it compares:** under the owner view, ANT is roughly level with CLS (19.1%) and above META (16.7%), but with a far worse bust (−88% vs −34% to −75%). On the model view it's below every holding. It depends almost entirely on AI-2027 arriving on time, and in the late case it barely beats cash.
- **Risks the screen doesn't capture:**
  - Public-benefit-corporation governance, which gives shareholders limited control.
  - Heavy share issuance to fund compute.
  - Possible government involvement in the "race" scenarios.
  - Price swings after the IPO and when lockups expire.
- **Verdict:**
  - Don't buy at the open; the first-day price will drive the return.
  - Fully value it with both models, at the next cycle or after its first earnings report.
  - If you want it sooner, hold **2–5% in the Moonshot sleeve**, outside the Event Horizon weights, not in the core.

What AGI-focused investors hold

A cross-check against people who believe AGI is near, and against insiders. Positions come from news reports and 13F aggregators, not verified against SEC filings. Q3 2026 13Fs are due about Nov 14.

Who	What they hold or buy	Overlap with V10.2	Takeaway
Situational Awareness (Leopold Aschenbrenner, ex-OpenAI)	June 30: ~56% in SNDK + MU, plus BE, TSM, NBIS. **Lost ~67% in July**, sold its public book to Citadel at a discount, and **kept its Anthropic stake.** Reportedly back trading SNDK, SK hynix and a memory ETF from September	MU	Right thesis, ruined by concentration and borrowed money. Supports the fund's 15% cap and no-leverage rule
Value Aligned Research Advisors	NVDA ~15%, GOOGL ~11%, AMZN ~10%, plus VRT, AVGO, EME, LRCX, CORZ	NVDA, VRT	Platforms plus picks and shovels
Thiel Macro	~72% power (Vistra, utilities, X-Energy) + ~28% AMZN; no chip stocks	Power, through NRG	Power is the bottleneck
Congress	Pelosi: NVDA, GOOGL, AMZN calls + VST. Rep. McGuire: MU buys (Sep–Oct 2026). 100+ members hold AI stocks	NVDA, MU	Disclosures are 30–45 days late and mostly small; not useful inside information
Wall Street "AGI stock" lists (BofA, Motley Fool, Forbes)	NVDA, GOOGL, MSFT, AMZN, TSM, AVGO, ASML, MU	NVDA, MU	The consensus list: big, fairly priced names (8–13.5% model E for the ones not held)
Retail / AI forums	OKLO and SMR nuclear; neoclouds (CRWV, IREN, NBIS); memory (SNDK, WDC); Cerebras (CBRS)	—	Big drawdowns: OKLO is pre-revenue and down ~72% from its high; CBRS is down ~67% this year

What this tells us:

1. **AGI money clusters in memory, power and NVDA, and V10.2 already owns all three** (MU, NRG, NVDA).
2. **The fund's difference is the physical buildout layer** (VRT, NVT, STRL, CLS), which the crowd under-owns. That's why it's cheap (Section 4).
3. **The names the crowd owns that V10.2 doesn't** are either fairly priced big companies (GOOGL, MSFT, AMZN, TSM, ASML, AVGO), behind a premium or IPO pop (SKHY, ANT), or zero-in-a-bust (neoclouds, OKLO). None beats a current holding at today's price.
4. **The cautionary tale is the most AGI-convinced fund of all.** Aschenbrenner was largely right on direction and still lost about two-thirds in a month: too concentrated, with borrowed money, at the wrong moment.

The Moonshot sleeve (optional, owner preference)

- If you want direct exposure to the fastest paths, the Moonshot sleeve (currently 0%) exists for this. For example: **2–3% in CRWV, or CRWV/IREN split**, or **2–5% in ANT** after its IPO settles.
    - On the 100GW path that adds about 5–7× on the sleeve.
    - In a bust it's a near-total loss, capped at the sleeve's size.

- It **lowers** model-view expected return, so it's a preference, not a recommendation.
- Keep it outside the Event Horizon weights.

Not this cycle

- **AI-driven biotech and pandemic-hedge names** aren't modeled. Most of the value lands after 2030 because trials take years. Add an "AGI bio" screen (LLY, TMO/DHR, RXRX/SDGR, and one biodefense name) to the next cycle's Step 1.

10. Updated Allocation

Recommendation: keep V10.2 now. The changes worth making all depend on MOD passing its Nov 18 gate.

Stock	V10.2 (now)	Stage 1: MOD gate passes Nov 18 (D7, already adopted)	Stage 2: V10.3 candidate (after MOD's next report confirms)
NVDA	15	15	15
META	15	15	15
MU	14	14	**15**
VRT	14	**11**	**10**
NRG	12	12	**10**
NVT	12	**10**	**7**
CLS	10	10	10
STRL	8	8	**10**
MOD	0	**5**	**8**
Total	**100**	**100**	**100**
Model E	15.48%	15.73%	**15.92%**
Owner-view E	20.17%	20.87%	**21.41%**
AI-2027 ~1 year late	18.1%	18.4%	18.7%
AI-2027 on time	24.1%	24.9%	**25.5%**
AI-2027 ~1 year early	29.6%	30.8%	31.6%
100GW 2030	38.2%	39.8%	**41.0%**
Bust	−61.5%	−61.7%	−62.0%
Delay	−22.1%	−21.7%	−21.7%
$100k, owner view	~$214k	~$219k	~$223k

Why Stage 2:

- **It passes the fund's own rule 2.**
  - Against V10.2: +0.44pp model E (above the 0.25pp bar).
  - Against Stage 1: +0.19pp, with AI-2027 up 0.6pp and the bust only 0.3pp worse.
- **Almost all of the gain is MOD.** MOD at 8% instead of 5% alone adds +0.15pp model E and +0.41pp under the owner view.
- **MOD's 5% cap was a confidence cap,** set because the spin-off is five weeks old, not because of its return. One confirming quarterly report is the evidence that would justify raising it. The date isn't confirmed; probably early Feb 2027.
- **The other Stage 2 changes are within noise:**
  - MU 15, STRL 10 / NRG 10 (still at the 20% Texas cap), NVT 7.
  - Together they add about 0.04pp model and 0.13pp owner view.
  - Make them only with new cash or when rebalancing anyway, never as separate trades.

If MOD fails the gate: stay at V10.2. The best non-MOD tilt (MU 15, VRT 15, STRL 10, NRG 10, NVT 10) adds only +0.05pp model and +0.13pp owner view, which isn't worth the trading and taxes.

The standing triggers still apply: Texas (D6: NRG 8 / STRL 3 / TLN 9) and an adverse NVDA review (D8: NVDA 8 / AVGO 7).

11. What Would Change This Overview

If…	Then…
NVDA's Nov 17 report and board review come back clean	NVDA conviction rises to 9; no weight change (already at the cap)
MOD passes Nov 18	Stage 1; MOD conviction rises to 7
MOD's next report confirms the FY28 bridge	Stage 2 (V10.3 candidate)
The SKHY ADR premium falls below ~15%	Fully value SK hynix as an HBM position shared with MU
Anthropic IPO prices Nov 18 and trades Nov 19	Don't buy at the open. Fully value ANT with both models; optional 2–5% Moonshot position only
AVGO below ~$275, or its Dec 9 report shows limited guarantee exposure	Re-check AVGO (bench #1) against NVT, VRT and CLS
Texas restrictions confirmed (D6)	NRG 8 / STRL 3 / TLN 9; re-score NRG and STRL
Signs AI-2027 is running 2+ years late (capex guidance cut, financing stress)	Lean on the model view; META and NRG matter more; no new fast-path names
Signs AI-2027 is early (2027 capex guidance above $1.5T; HBM sold out into 2030)	Stage 2 sooner; consider the Moonshot sleeve

Method Notes and Sources

- **Model:** the adopted V10.2 synthesis model (`claude_synthesis/step5_model.py`), with Step 6's WCC fix (`codex_final_review/data/step6_out.json`). Nov 9, 2026 prices; horizon 4.14 years to Dec 31, 2030.
- **Owner view:** the same per-stock values, re-weighted (Section 2). The ~1-year-late and ~1-year-early points are interpolated along the model's named-scenario path, using AI-pace lever settings of 0.25 and 1.4, between AI-2027 (0.8) and 100GW (2.5). Portfolio returns use expected terminal value, not averaged CAGRs.
- **Scripts:** `inputs/research/brief_overview/`.
  - `owner2.py`: the owner view and portfolio variants.
  - `wb_implied.py`: the workbook-implied bottlenecks.
  - `dump2.py`: reads the workbook's xlsx export.
- **Conviction:** Claude's scores. Pending Codex blind scoring.
- **Sources:**
  - AI chip compute forecast workbook (xlsx export, Nov 11, 2026)
  - SK hynix ADR listing (SK hynix newsroom)
  - CNBC: SK hynix Nasdaq ADR listing
  - Asia Times: the SKHY premium
  - SK hynix Q3 2026 results (BigGo)
  - Global Equity Briefing: SK hynix Q3
  - Motley Fool: SK hynix valuation
  - Nov 9 closes for SKHY, 000660.KS, KRW=X and SNDK from the Yahoo Finance chart API
  - CNBC: Anthropic sets IPO range, trading Nov 19
  - Yahoo Finance: Anthropic IPO up to $1.4T
  - Fortune: Anthropic IPO valuation
  - CNBC: Aschenbrenner's fund collapse
  - TechCrunch: Situational Awareness keeps its Anthropic shares
  - Inc.: Situational Awareness lost 67% in July
  - Stocktwits: Citadel unwinds Situational Awareness positions
  - 13f.info: Situational Awareness filings
  - HedgeFollow: Value Aligned Research Advisors
  - 24/7 Wall St: Thiel Macro's power bet
  - Motley Fool: Pelosi's 2026 trades
  - The Nation: Congress and the AI boom
  - U.S. News: 7 stocks if AGI is here (BofA)
  - TIKR: Oklo down 72% from its high
  - TipRanks: November 2026 AI picks (WDC, CBRS)